

24SMCV04207 24SMCV04207

County: los-angeles

Division: Civil Law and Motion

Department: 205

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Case Number: 24SMCV04207 Hearing Date: July 8, 2026 Dept: 205

Superior

Court of California

County

of Los Angeles – West District

Beverly Hills Courthouse / Department 205

CTC RENOVATION, INC., a California
corporation,

Plaintiff,

v.

1138

PRINCETON LLC, a Delaware Limited Liability Company, et al.,

Defendants.

Case No.:

24SMCV04207

Hearing Date: July 7, 2026

[TENTATIVE]

order RE:

Defendant's

motion to vacate order sending this action to arbitration and lifting the stay of this action

BACKGROUND

Defendant 1138

Princeton, LLC ("Defendant") is the owner of the apartment complex located at 1132-1142 Princeton St., Santa Monica, CA 90403 (the "Property"). (Compl., ¶ 2.) On December 29, 2022, Defendant entered into a written contract with Plaintiff CTC Renovation, Inc. ("Plaintiff"). (Id. at ¶ 8.) Plaintiff was hired to construct 10 new apartment units at the Property.

On August 29, 2024, Plaintiff filed its Complaint alleging (1) Breach of Contract; (2) Foreclosure of Mechanics Lien; (3) Open Book Account; and (4) Account Stated.

On October 4, 2024, the Court ordered the case stayed pending binding arbitration as to the entire action.

On April 28, 2026, Defendant filed this Motion to Vacate Order Sending this Action to Arbitration and Lifting the Stay of this Action ("Motion").

On June 24, 2026, Plaintiff filed a Joinder to Defendant's Motion.

LEGAL

STANDARD

A trial court may exercise its inherent jurisdiction to reconsider an interim ruling. (Pinela v. Neiman Marcus Grp., Inc. (2015) 238 Cal.App.4th 227, 237.) A trial court has authority to reconsider orders compelling or denying arbitration. (Ibid.)

When the parties to a contract agree to arbitrate any disputes before a particular forum, that provision becomes an integral part of their contract. (Provencio v. WMA Sec., Inc. (2005) 125 Cal.App.4th 1028, 1032.) If that forum is not available to hear the dispute, then a petition to compel arbitration may not be

granted. (Ibid.; See Alan v. Superior Ct. (2003) 111 Cal.App.4th 217, 228 ["An agreement to arbitrate before a particular forum is as integral a term of a contract as any other, which courts must enforce."].) "If an arbitration agreement designates an exclusive arbitral forum (e.g., the NYSE), and arbitration in that forum is not possible, courts may not compel arbitration in an alternate forum by appointing substitute arbitrators...." (Alan, supra, 111 Cal.App.4th at p. 228.) If the forum selected declines to hear the matter, the dispute is to be tried in court. (Id. at p. 224.)

DISCUSSION

Defendant argues

the order compelling arbitration must be vacated because the forum chosen for the arbitration has refused to hear the arbitration based on Plaintiff's refusal to pay its portion of the JAMS retainer.

Plaintiff joins

Defendant's Motion and does not oppose the request for the court to (1) vacate its October 4, 2024 order sending this action to arbitration or (2) to lift the stay on litigation so that the parties may proceed to the trial court for the remainder of this litigation. Plaintiff admits it is unable to afford arbitration and that the case should be returned to the Court. Plaintiff contends this Motion need not be brought because Plaintiff offered multiple times to file a joint stipulation to request the order be vacated and the stay be lifted.

The Court agrees

that Martinez v. Master Protection Corp. (2004) 118 Cal.App.4th 107 is on point. There, the trial court appointed a substitute forum for arbitration when the arbitral forum chosen by the parties refused to conduct arbitration. (Martinez v. Master Protection Corp. (2004) 118 Cal.App.4th 107, 107.) The Court of Appeal held that the trial court lacked authority to appoint an arbitrator after the chosen arbitral forum refused to conduct arbitration. (Ibid.) There, the arbitration agreement required that the arbitration be conducted by the AAA. (Id. at p. 120.) AAA refused to conduct a hearing. (Ibid.) Because the parties agreed to AAA as a forum, but AAA refused to hear the matter, the dispute is to be tried in court. (Id. at p. 121.)

Similarly, here,

the parties specifically agreed to have their disputes arbitrated before JAMS only in the Contract. The Contract states: "§ 21.6 If the parties have selected

arbitration as the method for binding dispute resolution in this Agreement, any claim, subject to, but not resolved by, mediation shall be subject to arbitration which, unless the parties mutually agree otherwise, shall be administered by JAMS, in accordance with the Construction Industry Arbitration Rules in effect on the date of this Agreement.” (Compl., Ex. A.) Because the parties agreed to arbitrate any disputes before JAMS, the provision is an integral part of their contract.

Plaintiff has

refused to pay its portion of the Retainer required by JAMS. (Topp Decl., ¶ 13, Ex. “I”.) Plaintiff admits it is “unable to afford the tremendous arbitration fees.” (Plaintiff Joinder, p. 2.) JAMS reserved the right to cancel the Arbitration Hearing if Plaintiff did not pay its portion of the Retainer. (Ex. G, H.) JAMS removed the Arbitration Hearing from the calendar because JAMS did not receive payment of the outstanding retainer. (Ex. I.) When JAMS removed the hearing date for failure to pay, JAMS declined to hear the dispute. Because Plaintiff admits it cannot afford the arbitration fees, the parties will not be able to proceed with arbitration before JAMS, as required by the Contract. Because arbitration is not possible in the exclusive forum, JAMS, the court may not select an alternative arbitrator, and the dispute must be tried in court. (Alan, supra, 111 Cal.App.4th at p. 224.)

Accordingly, the Motion

to vacate the order sending this action to arbitration and lifting the stay of this action is granted.

CONCLUSION

For the foregoing reasons, the Court GRANTS Defendant’s Motion to Vacate Order Sending this Action to Arbitration and Lifting the Stay of this Action. The Court further sets a Case Management Conference on August 3, 2026 at 8:30 a.m.

DATED: July 8, 2026 _____

Edward

B. Moreton, Jr.

Judge

of the Superior Court